The commodity futures market facilitates the ***price discovery*** process and provides a platform for *price risk management* in commodities. Currently, 113 commodities are notified for futures trading of which 50 are actively traded in five national and 16 commodity specific ***exchanges***. Agricultural commodities, bullion, energy, and base metal products account for a large share of the commodities traded in the commodity futures market. The total value of trade in the commodity futures market rose significantly in 2011 compared to that of the previous year due to increased awareness, the advent of new commodity exchanges, increase in global commodity prices, and improved regulation.

To strengthen and broad base the market, the Forward Markets Commission (FMC), which is ***the regulator*** for commodity futures trading under the provisions of the Forward Contracts (Regulation) Act 1952, has taken many initiatives[36]:

(i) Conducted awareness programmes during 2011 such as a media campaign under the ***Jago Grahak Jago Programme*** about the Dos and Don'ts of trading in the commodity futures market;

(ii) Police training programmes in the states of Madhya Pradesh, Chhattisgarh, Tamil Nadu, and Delhi with regard to dabba trading/ illegal trading;

(iii) A massive awareness and capacity-building programme for various stakeholder groups, with primary focus on farmers.

(iv) On the regulatory front, the FMC undertook measures for the development of the commodity futures market which include ensuring more effective inspection of members of the exchanges on regular basis and in a comprehensive manner covering all aspects of regulatory regime;

(v) bringing out a guidance manual for improving audit practices, prescribing penalty structure for client code modification and for executing trade; and

(vi) granting exemptions for short hedge for soyabean/oil futures, issuing directives for segregation of client accounts.